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Submitter Information

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General Comment

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Response to The White House’s AI Action Plan: AIAIdeas' Proposal by Michael McPherson.

Subject: AI Action Plan AI-Driven Federal Budget Balancing System (AIAIdeas) – A Transformative Solution for Fiscal Sustainability and Economic Innovation

Introduction

The White House’s AI Action Plan underscores the transformative potential of artificial intelligence to enhance government efficiency, drive economic growth, and address national challenges. In response, we propose the AI-Driven Federal Budget Balancing System (AIAIdeas), a novel framework to eliminate the federal deficit, optimize resource allocation, and foster a public-private AI partnership.

Attachments

AI Action Plan

AI Action Plan

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Mechanism and Partnership Model
AIAIdeas establishes a cloud-based AI system under federal control, managed by the Office of Management and Budget (OMB) or a dedicated task force. Specialized AI agents, leased from private companies via competitive bids, analyze budget data, identify waste, and propose savings and revenue strategies. This dual-objective system eliminates unbalanced budgets while generating profit for AI firms, creating a market-driven revenue stream. The partnership model incentivizes innovation, with contractors retaining IP rights and earning lease fees, mirroring successful cloud computing markets (e.g., AWS, Azure).

Benefits
Fiscal Responsibility: Targets the FY 2025 deficit of $1.9 trillion (CBO, January 2025) within a $7.0 trillion budget, aiming for 5-27% savings ($350B-$1.9T annually).

Data-Driven Efficiency: Identifies overspending and optimizes resource allocation, minimizing waste.

Innovation: Proposes cost-saving and revenue-generating solutions (e.g., predictive analytics for infrastructure, tax enforcement optimization).

Economic Growth: Stimulates the AI sector, creating jobs and a multi-billion-dollar market.

Sustainability: Ensures long-term fiscal health via continuous monitoring.

This aligns with the AI Action Plan’s emphasis on harnessing AI for economic and societal benefits while maintaining U.S. leadership in technology.

Operating Costs for 2026 Implementation
To operationalize AIAIdeas in FY 2026, we estimate minimal and medium annual operating costs, focusing on hardware, software, and operational essentials. Costs are kept low by leveraging existing federal IT systems (e.g., GSA Cloud Advantage contracts, USAspending.gov) and outsourcing AI development to private contractors.
Minimal Operating Cost: $150 Million/Year
Cloud Infrastructure (Hardware): $6M-$11M (10,000 petaflops compute at $0.50-$1/petaflop, 1 PB storage at $20K, $1M networking).

Software (AI Agents): $100M (10 agents at $10M each) + $5M (open-source platform).

Personnel: $3.5M (20 staff at $150K each, $0.5M training).

Security: $5M (FedRAMP compliance, audits).

Miscellaneous: $2M (setup amortized, contingency).

Target Savings: 5% reduction ($350B).

Cost-to-Savings Ratio: 0.043% ($150M ÷ $350B), a highly efficient investment.

Assumptions: Lean deployment, basic AI capabilities, minimal staffing, and existing cloud contracts. This scenario prioritizes cost containment, achieving modest but immediate savings.

Medium Operating Cost: $400 Million/Year
Cloud Infrastructure: $25M-$35M (20,000 petaflops compute, 2 PB storage, $5M networking) for broader real-time analysis.

Software: $300M (15 agents at $15M-$20M each) + $10M (enhanced platform with custom features).

Personnel: $15M (50 staff, including data scientists at $200K-$250K each, $1M training).

Security: $15M (advanced cybersecurity, penetration testing).

Miscellaneous: $10M (expanded setup, 5% contingency).

Target Savings: 10% reduction ($700B).

Cost-to-Savings Ratio: 0.057% ($400M ÷ $700B), still exceptionally cost-effective.

Assumptions: Increased scale, more agents, and enhanced capabilities to double savings, requiring moderate investment in compute, staff, and security.

Cost Trade-Offs

Minimal ($150M) vs. Medium ($400M): The minimal approach sacrifices scale for affordability, targeting $350B savings with basic tools. The medium approach doubles savings ($700B) by investing in more agents and compute power, but increases costs by 167%. The trade-off is speed and ambition: $150M proves the concept with low risk, while $400M accelerates deficit reduction at a higher upfront cost.

Hardware: Relying on cloud providers (minimal: $6M-$11M) avoids CapEx but limits control. Owning hardware (e.g., $50M-$100M/year for on-premises GPUs) could reduce long-term lease costs but requires significant initial outlay—unfeasible for 2026.

Software: Minimal agent leases ($100M) assume competitive pricing; medium ($300M) reflects higher fees for advanced agents or fewer bidders, a risk if market competition lags. Open-source platforms save millions but may lack robustness versus commercial solutions ($20M-$50M/year).

Personnel: Minimal staffing ($3.5M) leverages existing expertise, risking burnout or errors; medium ($15M) hires specialists, improving accuracy but raising overhead.

Savings Impact: A $250M cost increase (minimal to medium) yields $350B extra savings—a 1,400x return—suggesting the medium scenario's trade-off is justified if political will supports deeper cuts.

Alignment with AI Action Plan

AIAIdeas advances the White House's priorities:
Safety and Trust: FedRAMP-compliant cloud and oversight ensure secure, ethical AI use.

Economic Opportunity: Lease agreements create a $100M-$300M+ annual market for AI firms, fostering innovation.

Government Efficiency: Automates budget tasks, freeing resources for policy priorities.

Equity: Savings can be reinvested in underserved communities, though cuts must be monitored for fairness.

Recommendation

We propose launching AIAIdeas in 2026 at the minimal cost of $150M to demonstrate viability, targeting $350B in savings (5% reduction). Success could justify scaling to $400M in 2027, aiming for $700B (10% reduction), with costs offset by reallocating $92B in existing IT spending (GAO, 2025). This staged approach balances fiscal caution with transformative potential, delivering a cost-to-savings ratio below 0.06%—an unparalleled return on investment.

Conclusion

AIAIdeas offers a groundbreaking solution to achieve fiscal sustainability while advancing U.S. AI leadership. Its minimal ($150M) and medium ($400M) operating costs for 2026 reflect a flexible, scalable model, with trade-offs favoring efficiency now and ambition later. We urge the Administration to pilot this system, aligning with the AI Action Plan’s vision of a stronger, more equitable future.

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